



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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21 December 2004

Circular to deemed licensed corporations¹
which have not submitted migration applications

Client assets arrangement in anticipation of business cessation

This circular aims to provide guidance to certain deemed licensed corporations (which will not lodge their migration applications by 31 January 2005) about the arrangements they should make regarding client assets.

As mentioned in our circular of 21 October 2004, should you fail to lodge your migration application by the end of the transitional period (i.e. 31 March 2005), your existing licence to conduct regulated activities will automatically cease to have effect.

Return or transfer of client assets

If you do not intend migrating, you should consider winding down your business and making early preparation for the return or transfer of client assets under your custody.

In this connection, we would expect you to adopt a proactive approach in contacting your clients, notifying them of your intention to cease business and seeking their instructions as to whether they wish to collect their assets or transfer them to another intermediary. Your attention is drawn to section 6 of the Securities and Futures (Client Securities) Rules and section 5 of the Securities and Futures (Client Money) Rules and the circumstances in which the client's written direction is required before the licensed corporation is permitted to deal with the client's assets.

Since it takes time to get in touch with all clients, you should take the necessary actions as early as practicable before your licence expires.

¹ Deemed licensed corporations refer to firms which were registered or licensed under the repealed Securities Ordinance, Commodities Trading Ordinance or Leveraged Foreign Exchange Trading Ordinance immediately before 1 April 2003 and are now deemed to have been licensed under the Securities and Futures Ordinance pursuant to the transitional provisions contained therein.





Treatment of unclaimed client assets

Before your licence expires, you should make every practical effort to contact your clients and to deal with their assets in accordance with their instructions. Where some of your clients cannot be contacted, we would expect you to post notices in newspapers regarding your business cessation plan (setting out the timeframe and the actions expected of your clients).

Despite your efforts, there may be unclaimed client assets. We consider that you will continue to owe fiduciary duties to your former clients in respect of such unclaimed client assets even after the expiry of your licence. You are advised to seek professional advice on the most appropriate way to deal with unclaimed client assets. This may involve consideration of an application under the Trustee Ordinance.

In appropriate cases, the Commission may consider exercising its power under section 205 of the Securities and Futures Ordinance to issue a notice requiring a licensed corporation to deal with client assets in a specified manner.

Bi-weekly status report

If you do not lodge your migration application by **31 January 2005**, you should submit a report containing your client assets position on a bi-weekly basis. In the report, you need to detail:

- (a) the aggregate amount of cash held by you for clients;
- (b) the aggregate value of securities held by you for clients;
- (c) the aggregate value of client assets held by you other than items (a) and (b) above;
- (d) the number of clients concerned;
- (e) the breakdown of the positions of the top 20 clients in terms of asset size; and
- (f) the steps taken / to be taken to contact your clients and notify them of your cessation of business (if you do not intend migrating).

Until your licence expires or is revoked, you should submit the above report to the Licensing Department of the SFC for positions as of the 1st and the 15th of each month within the following two weeks. **The first report for positions as of 15 January 2005 should be submitted by 29 January 2005.**

Should you have any questions, please contact your Intermediaries Relationship Manager of the Licensing Department.

**Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission**